Executive Summary

- **Cotton prices showed an decrease in Akola mandi prices went to ₹36643 per tonne, up by ₹115, while Kadi mandi prices decreased to ₹36663 per tonne, down by ₹1067.**
- **India May Extend Duty-Free Cotton Imports Until December as Production Declines.**
- **Domestic Cotton Production Expected to Fall by 12–18%.**
- **Maharashtra and Southern States Face Significant Production Losses.**
- **Production Outlook Varies Across Other Growing Regions.**
- **Market Outlook: Import Policy and Weather to Influence Prices.**
- **In the international market, ICE cotton futures also moved downward, with Dec 2026 contracts at 78.9 (-1.2) cents, Mar 2027 at 82.7 (-0.7) cents, May 2027 at 84.4 (-0.7) cents.**
- **U.S. Cotton Futures Post Modest Gains Amid Persistent Market Pressure.**
- **U.S. Cotton Harvest Advances Amid Concerns Over Crop Quality.**
- **Federal Reserve Decision and Inflation Data in Focus.**
- **Crude Oil Rally Raises Inflation and Production Cost Concerns.**
- **Brazil's Election Result and Currency Weakness May Pressure U.S. Cotton.**
- **USDA Announces Financial Relief and Fertiliser Investment Initiatives.**

Executive Summary

Particulars	Latest	+/- Weekly Change
Mandi Prices(INR/Tonne)		
Akola	36643	115
Kadi	36663	-1067
International Prices		
CBOT		
Dec-26	78.9	-1.2
Mar-27	82.7	-0.7
May-27	84.4	-0.7
Jul-27	84.9	-0.7
Currency		
India	95.11	-0.13
Brazil (BRL)	5.42	0.44
Argentina (ARS)	1540.67	13.75
Ukraine (UAH)	45.56	0.18
Malaysia	4.09	0
China (CNY)	6.67	0
Australia (AUD)	1.42	0
Japan (JPY)	157.7	0.55
Canada (CAD)	1.4	0

Domestic News

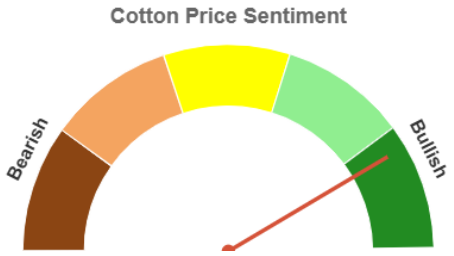
- **Cotton prices showed an decrease in Akola mandi prices went to ₹36643 per tonne, up by ₹115, while Kadi mandi prices decreased to ₹36663 per tonne, down by ₹1067.**
- **India May Extend Duty-Free Cotton Imports Until December as Production Declines :** The central government is expected to extend the exemption from the 11% customs duty on cotton imports for another two months, until the end of December 2026, to address domestic supply concerns. The existing exemption, introduced on June 1, was scheduled to expire on October 31. The proposed extension aims to improve cotton availability, reduce procurement costs for textile mills and ease domestic price pressures. It could also encourage imports from the United States, Brazil and Australia. However, some traders have raised concerns that cheaper imported cotton could affect domestic farmers, particularly in drought-hit regions. (Business Standard)
- **Domestic Cotton Production Expected to Fall by 12–18% :** India's cotton production for the 2026–27 season is projected to decline by 12–18% to approximately 29 million bales, compared with an estimated 33 million bales in 2025–26. Deficient rainfall and high temperatures have affected crop prospects across several major producing states. Meanwhile, domestic cotton prices have remained above ₹9,000 per 100 kg, exceeding the government's minimum support price of ₹8,717 per 100 kg for the new season. The production decline and firm prices have prompted textile mills to seek an extension of the duty-free import window. (Business Standard)
- **Maharashtra and Southern States Face Significant Production Losses :** Maharashtra's cotton production is expected to decline by around 20%, with pressing estimated at 8.5–9.2 million bales. In Marathwada, inadequate rainfall and high temperatures could result in crop losses of 40–50%. Andhra Pradesh's output may fall by 35% to 1.3–1.4 million bales, while Karnataka could experience a 30–35% decline to 1.9–2 million bales. Telangana's production is projected to decrease by 20% to 3.5–3.7 million bales. Gujarat's output is expected to fall by 12%, with pressing estimated at 6.2–7 million bales, including cotton brought in from other states. (Business Standard)
- **Production Outlook Varies Across Other Growing Regions :** North India's cotton production is expected to remain broadly stable at 2.8–3 million bales, while Madhya Pradesh could record relatively steady output of 1.7–1.8 million bales. Odisha's production may decline by 30% to 0.2–0.25 million bales because of excessive rainfall. The final production estimate will depend partly on weather conditions over the next 20–30 days. Traders indicated that 3–4 inches of rainfall over the next 10–15 days could add 1–1.5 million bales to production, although excessive rainfall could damage standing crops. Limited water availability for subsequent pickings could further constrain output. (Business Standard)
- **Market Outlook: Import Policy and Weather to Influence Prices :** An extension of the duty-free import period could increase overseas cotton purchases, improve raw-material availability for textile mills and moderate domestic prices. However, lower production prospects and tight supplies could continue to support the domestic market. The Cotton Corporation of India reportedly holds stocks that some traders believe could help address immediate supply concerns. Consequently, the impact on prices will depend on the government's final decision, actual import volumes, domestic arrivals and weather conditions affecting the remaining crop. (Business Standard)

Source: Business Standard — Centre poised to extend duty-free cotton imports as output may fall 12–18%

International News

- **In the international market, ICE cotton futures also moved downward, with Dec 2026 contracts at 78.9 (-1.2) cents, Mar 2027 at 82.7 (-0.7) cents, May 2027 at 84.4 (-0.7) cents.**
- **U.S. Cotton Futures Post Modest Gains Amid Persistent Market Pressure :** U.S. cotton futures recorded a slight increase last week, although December contracts continued to struggle to move decisively above 80 cents per pound. December futures gained 20 points to settle at 80.20 cents per pound, trading between 79.86 and 82.10 cents during the week. Prices briefly moved above the 100-day moving average on Wednesday but failed to sustain the gains. Buying interest at lower price levels provided some support, although improving export demand has not yet generated sufficient momentum for a stronger recovery. Cotton open interest crossed 400,000 contracts for the first time, while the December–March spread widened to 3.74 cents, its highest level for this point in the season since 2008, reflecting increased pressure as traders shifted positions from the December contract to later maturities.
- **U.S. Cotton Harvest Advances Amid Concerns Over Crop Quality :** U.S. cotton harvesting accelerated, with 41% of the crop harvested at the beginning of last week, compared with 31% a week earlier and the five-year average of 37%. However, recent freezing temperatures and additional rainfall in parts of West Texas have increased concerns about fibre quality, particularly for cotton remaining open in the fields. Further rainfall is forecast, potentially creating additional challenges for harvesting. As cotton classification and grading activities increase, the extent of weather-related quality damage should become clearer, helping the market assess the quantity of usable cotton available for supply.
- **Federal Reserve Decision and Inflation Data in Focus :** The U.S. cotton market is preparing for a busy economic week, with the Federal Reserve's interest rate decision expected to be the main event. Another rate increase this week appears unlikely, but stronger inflation readings and rising crude oil prices have increased expectations of a possible hike before the end of the year. The Federal Reserve's comments will be closely watched for signals regarding future monetary policy, the U.S. dollar and commodity markets. Thursday's gross domestic product (GDP) and personal consumption expenditures (PCE) inflation reports, along with decisions by other central banks, will also influence market sentiment. Seasonal weakness in agricultural markets and continued fund selling remain additional factors that could limit cotton's recovery.
- **Crude Oil Rally Raises Inflation and Production Cost Concerns :** Crude oil prices increased sharply late last week as escalating tensions in the Middle East raised concerns about potential supply disruptions. Both Brent and West Texas Intermediate (WTI) crude recorded weekly gains, adding to inflation concerns following stronger-than-expected readings earlier in the month. Higher energy prices are increasing concerns about fuel and operating costs for farmers during the ongoing harvest season. The rise in crude oil prices could also influence expectations for U.S. interest rates, currency movements and broader commodity market trends, creating additional uncertainty for cotton prices.
- **Brazil's Election Result and Currency Weakness May Pressure U.S. Cotton :** Brazil's presidential election produced an unexpected outcome, with President Luiz Inácio Lula da Silva winning re-election against Flávio Bolsonaro. The Brazilian real, which had strengthened by approximately 4.5% over the preceding three weeks amid expectations of a Bolsonaro victory, weakened sharply in overnight trading following the result. A weaker real can make Brazilian cotton more competitive in international markets and encourage farmers to sell additional supplies. With Brazil already competing actively for export business, further currency weakness could increase competition for U.S. cotton and limit its price recovery in the coming weeks.
- **USDA Announces Financial Relief and Fertilizer Investment Initiatives :** The USDA announced two initiatives intended to ease financial pressure on agricultural producers. The $8 billion Harvest Fuel Relief programme will provide one-time payments to help offset higher fuel and input costs associated with the 2026 crop year. Payments will be determined by factors including planted acreage, production costs, projected yields and prices, with commodity-specific payment rates expected to be announced in November. Separately, the USDA proposed investments exceeding $1.3 billion across eight domestic fertilizer manufacturing projects, including approximately $573 million in federal funding. The initiative aims to expand domestic fertilizer production and improve affordability, although its benefits for farmers are expected to take longer to materialise.

Price Influencing Factor



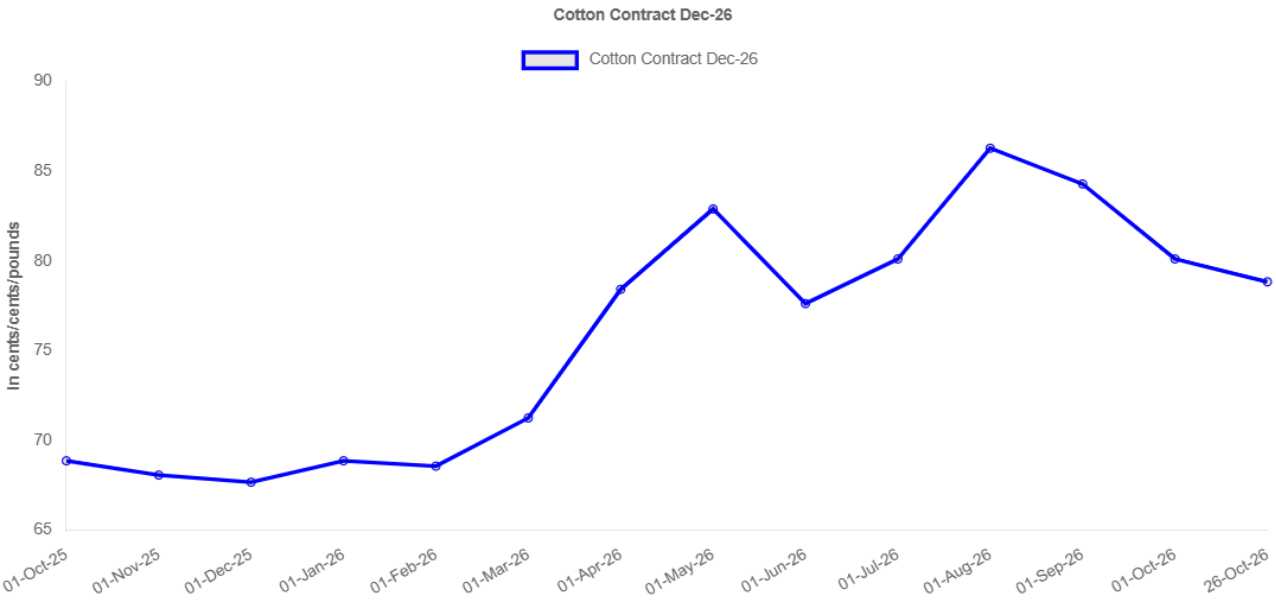
S.No.	Factors	Current Status	Expected Impact on Prices
1	Sowing Acerage ('000.ha)	High (11052.92 vs 11002.6) (2026 Vs 2025)	Bearish
2	Area('000.ha)	Low (11500 vs 11525) (2026 Vs 2025)	Bullish
3	Crop Condition	Industry surveys point to an estimated overall production drop of around 10% compared to the previous season, driven by erratic weather and heavy rainfall in key belts. [1]	Bullish
4	Yield (tonnes/Ha.)	Low (2025 Vs 2024)	Bullish
5	Production (Mln Tonnes)	Estimated Low	Bullish
6	Import	Low (43.5 lakh bales vs 33 lakh bales) (April'26 vs April'25)	Bullish
7	Export	Slightly high (43.56 billion Vs 38.28 billion)	Bullish
8	Current Price Trend	Upward (Rajkot)	Bullish
9	Crude Oil Prices	Upward (as they support biofuel demand)	Bullish
10	MSP	Relative Increase (8,267 vs 7,710) (2026 vs 2025)	Bullish
11	Substitute Crops	Upward (Soybeans, Maize, Tur, Moong)	Bullish
12	Rainfall Status	Below rainfall risks sustains	Bullish
13	Rainfall Outlook	Below rainfall risks sustains	Bullish
14	Temperature Outlook	Not stable due to Rainfall Deficit	Bullish
15	Currency (INR/USD)	Strong (95.7)	Bearish
16	Substitute Prices	Upward	Bullish
17	Price Seasonality	High (Oct Avg)	Bearish
18	Policy / Regulation	Normal	Neutral
19	Geopolitical	Russian-Ukraine, US-China, Middle East Iran conflict tensions still persist	Bullish
20	Global Prod. Outlook	High (25.2 million 480-lb bales, 7% increase from previous year 2025)	Bearish

S.No.	Factors	Current Status	Expected Impact on Prices
21	Weather (Major Prod.)	Production uncertainties in key regions of world	Bullish
22	Global Weather	Development of El Niño conditions suggested for SW Monsoon	Bullish
23	Feed Raw Material	Upward(WoW)	Bullish
24	Egg price	Upward(WoW)	Neutral
25	Competing (Demand)	Upward(WoW)	Bullish

Market Outlook

Attribute	Value
Close	36663
Weekly Change (%)	-3
Trend Reversal Point	37019
Resistance 1	37374
Resistance 2	38086
Support 1	36307
Support 2	35952

Cotton ICE



Month	Open	High	Low	Close	USD/Tonne
Dec-26	80	80.4	78.9	78.9	17
Mar-27	83.8	84.1	82.7	82.7	18
May-27	85.5	85.8	84.4	84.4	18
Jul-27	86	86.2	84.9	84.9	18
Oct-27	79.2	79.2	79.2	79.2	17

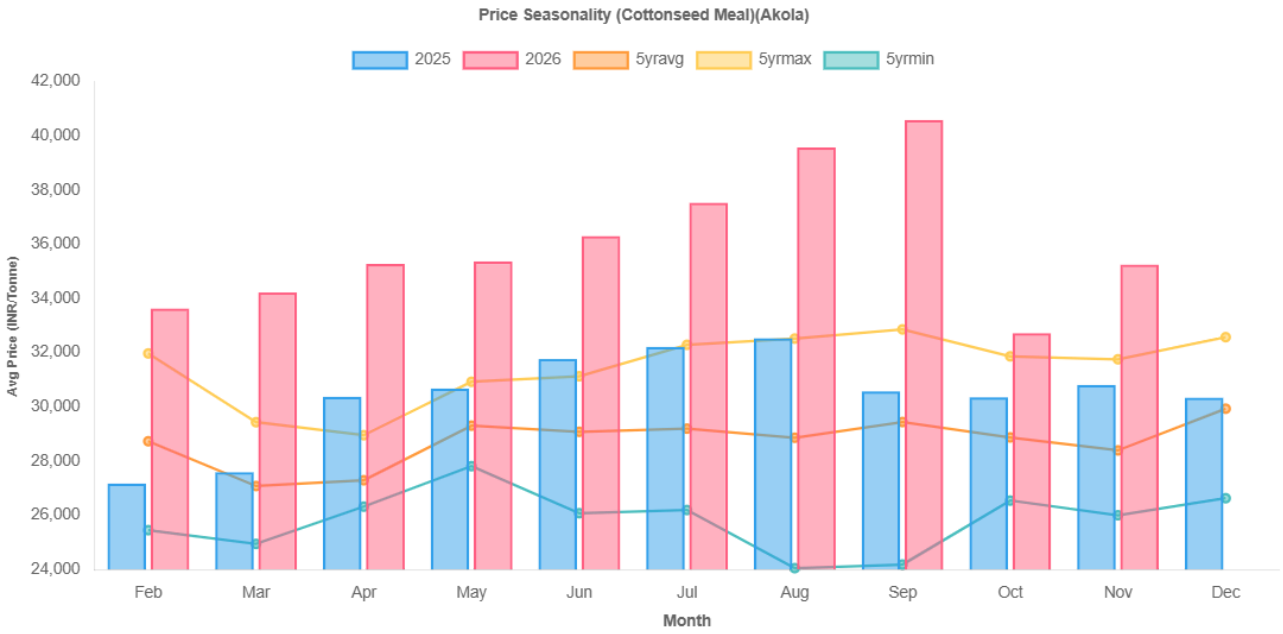
CME Comparison (ICE)

CBOT Cotton (in cents/Bushels):

Month	26-Oct-26	19-Oct-26	W-O-W	M-O-M
Dec-26	78.9	80.1	-1.2	-3.7
Mar-27	82.7	83.4	-0.7	-2.6
May-27	84.4	85.1	-0.7	-2.7
Jul-27	84.9	85.6	-0.7	-2.4
Oct-27	79.2	0	NA	NA

Source: CBOT

Price Seasonality (Cotton Oil Seed Cake)



Cotton Seed Meal Price

Location	26-Oct-26	19-Oct-26	Absolute Change
Akola	36643	36528	115
Kadi	36663	37730	-1067

Cotton Prices

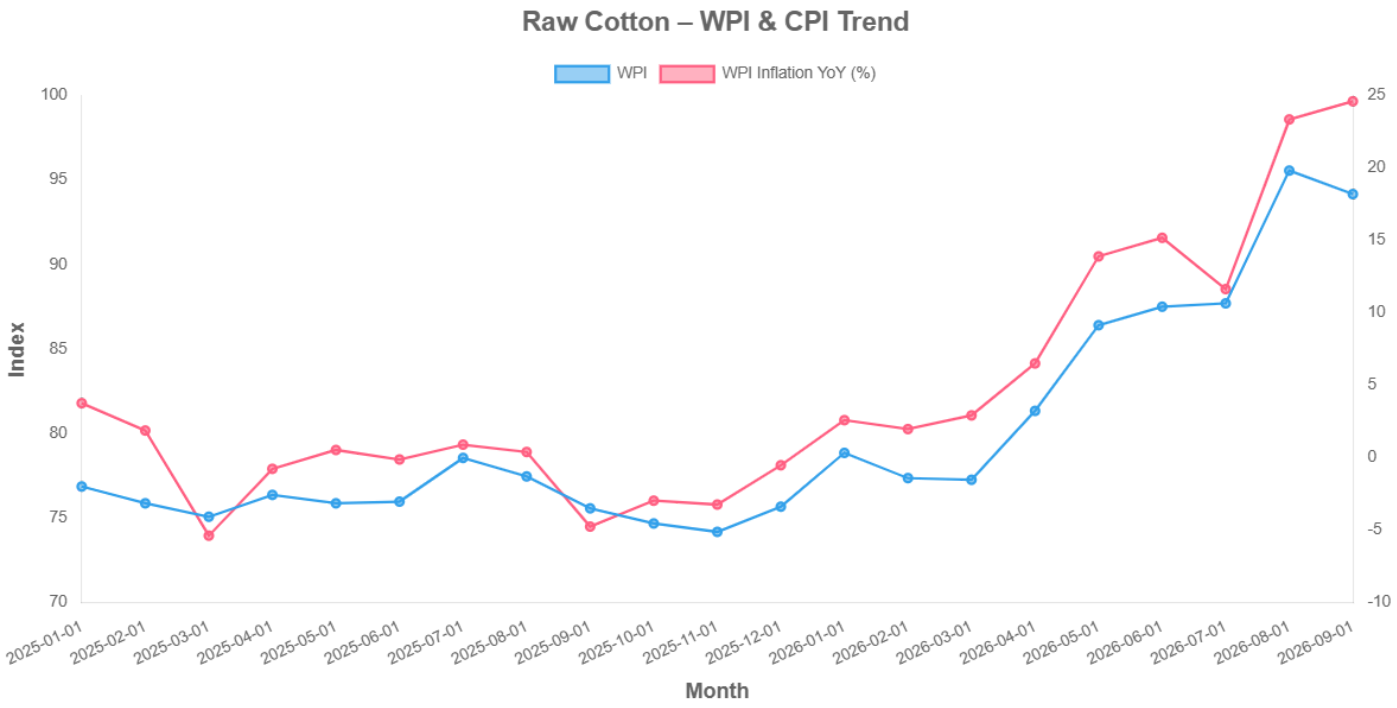
Tur Sowing (Area in '000 Ha.) and Rainfall (cumulative in mm):

Variety	Market	26-Oct-26	19-Oct-26	Absolute Change
Bt (Narma)	Adampur	90400		
Bt (Narma)	Bhiwani	91500		
Bt (Narma)	Dabwali	90450		
Bt (Narma)	Hanumangarh	91500		
Bt (Narma)	Kadi	96000		
Bt Cotton	Dhrol	101500	115197.001953125	-13697
Bt Cotton	Fatehabad	89000	105222.001953125	-16222
Bt Cotton	Rajkot	99000	112860	-13860
MECH -I 29 MM	Amravati	96000	108300	-12300
Shankar-6	Ahmedabad	96250	109725	-13475
Shankar-6	Gondal	97050	97050	0

Source: Ministry of Agriculture, IMD

Wholesale Prices(Raw Cotton) Index

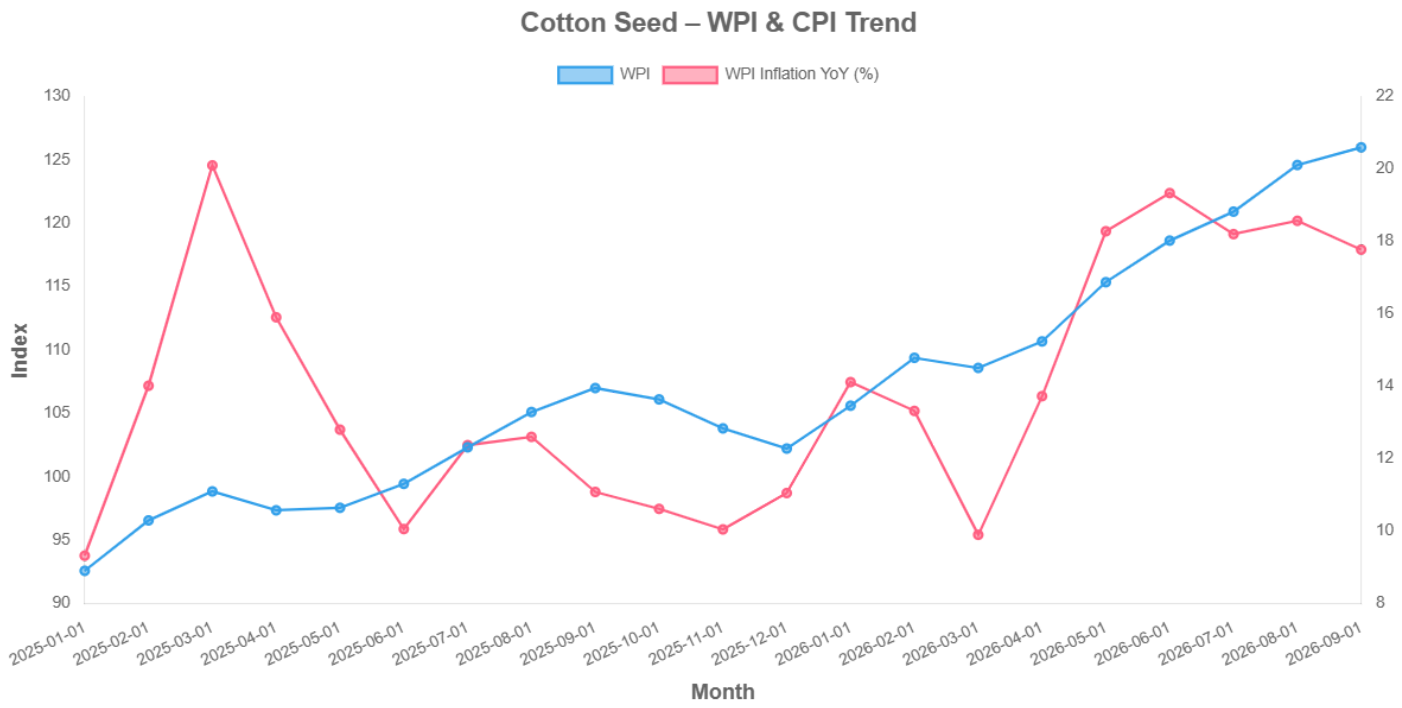
in (INR/Tonne):



Source: Spice board of India

Wholesale Prices(Cotton Seed) Index

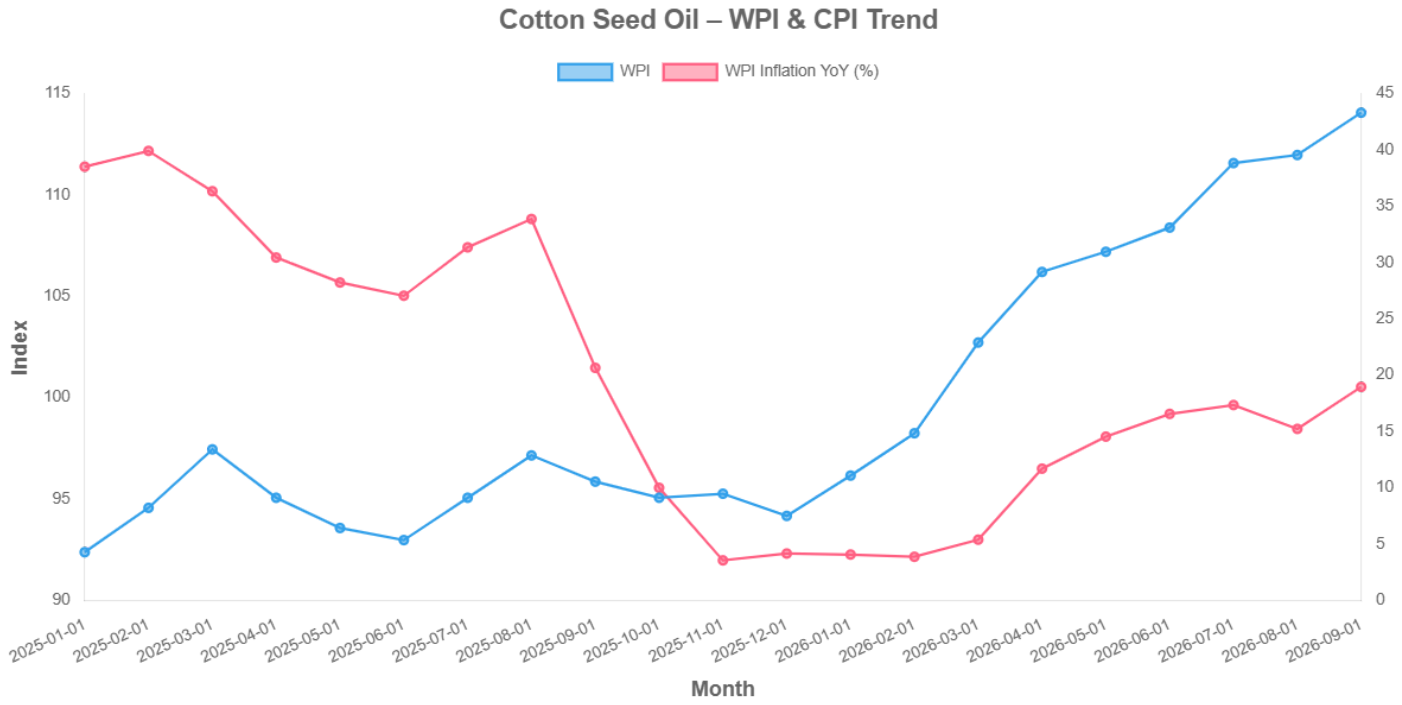
in (INR/Tonne):



Source: Spice board of India

Wholesale Prices(Cotton Seed Oil) Index

in (INR/Tonne):



Source: Spice board of India

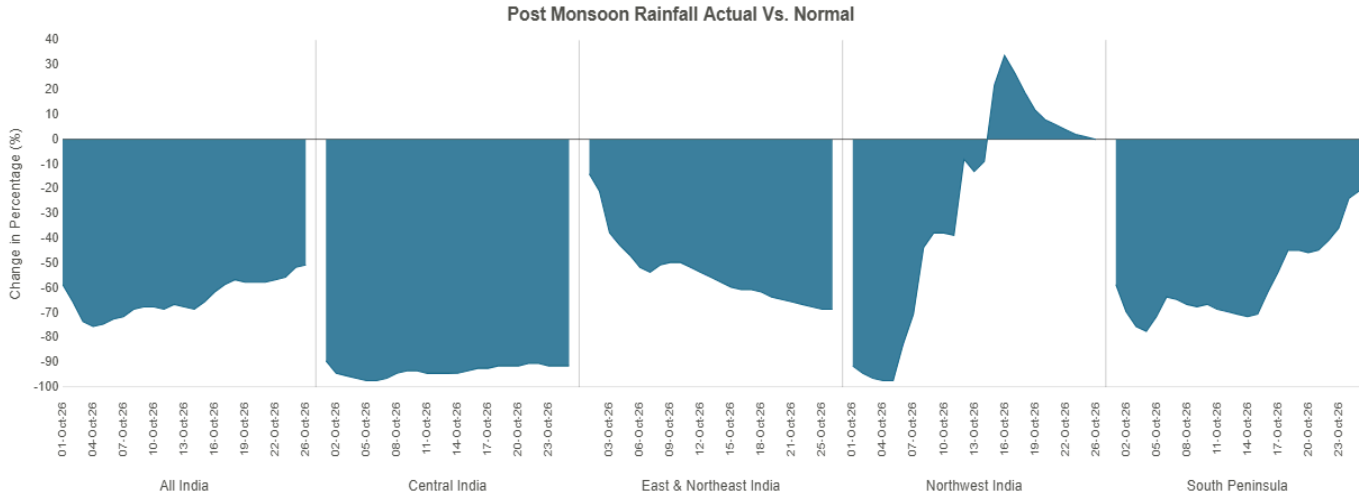
State Rainfall

India Weather Updates: Statewise Rainfall (in mm)

State	Actual	Normal	Dep.	Cat.
Andhra Pradesh	67.5	134.5	-0.5	D
Bihar	25.4	56.4	-0.6	D
Chhattisgarh	3.9	57.4	-0.9	LD
Delhi (Ut)	35.4	11.7	2	LE
Gujarat	0.3	18.7	-1	LD
Haryana	25.2	8.9	1.8	LE
Himachal Pradesh	29.9	23.8	0.3	E
Jharkhand	23.7	71	-0.7	LD
Karnataka	73.3	115.2	-0.4	D
Kerala	266.1	262.4	0	N
Madhya Pradesh	2.9	30.9	-0.9	LD
Maharashtra	2.6	69.8	-1	LD
Odisha	15.5	104.1	-0.8	LD
Punjab	26.4	7.8	2.4	LE
Rajasthan	4.7	10.6	-0.6	D
Telangana	5.1	87.6	-0.9	LD
Uttar Pradesh	15.8	27.8	-0.4	D
Uttarakhand	31.2	29.9	0	N
West Bengal	28.1	127.7	-0.8	LD

Source: IMD

Region Rainfall



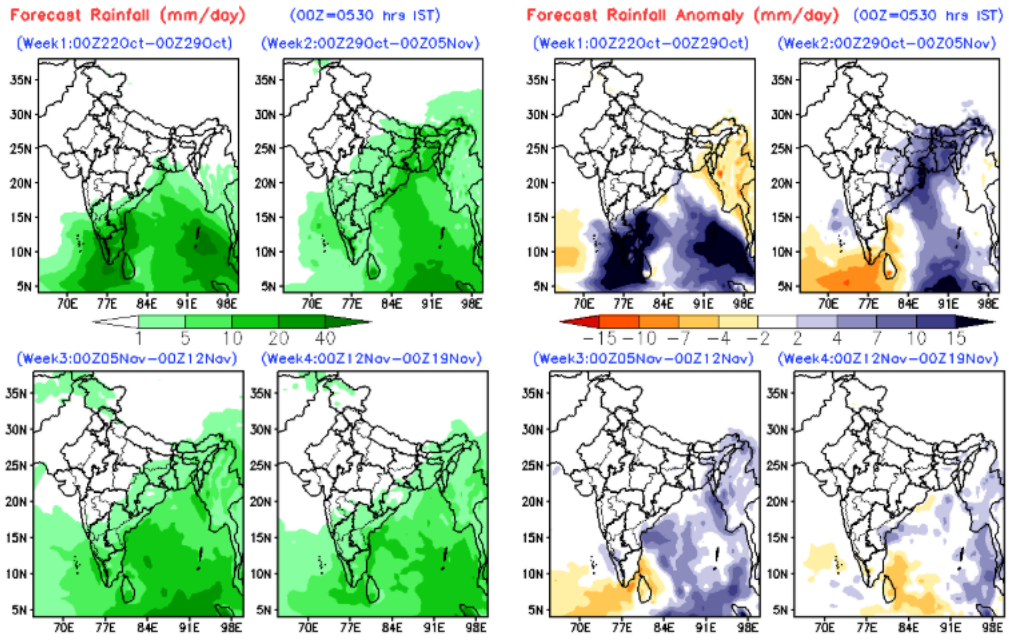
Note: Avg, Min, Max corresponds to previous 5 marketing years; source: Ministry of Agriculturade

Urad Sowing (Area in '000 Ha.) and Rainfall (cumulative in mm):

Region	Actual	Normal	% Departure From LPA
India	33.6	68.3	-51
Central India	4.4	53.6	-92
East & Northeast India	35.4	115.6	-69
Northwest India	20.5	20.6	0
South Peninsula	102.3	129.9	-21

Source: Ministry of , IMD

Rainfall Forecast



WASDE

India Cotton Seed Supply and Demand

Attribute	2026-2027 (Oct)	2026-2027 (Sep)	% Chg M.O.M	Last Year	% Chg Y.O.Y
Beginning Stocks	317	317	0	317	0
Area	11500	11500	0	11500	0
Yield	0.9	0.9	0	1	-11
Production	10189	10189	0	10189	0
Imports	0	0		0	
Total Supply	10506	10506	0	10506	0
Exports	0	0		0	
Feed Waste Consumption	1140	1140	0	1140	0
Food Consumption	0	0		0	
Seed to Lint Ratio	0	0		0	
Domestic Consumption	10140	10140	0	10140	0
Ending Stocks	366	366	0	366	0

World Cotton Seed Supply and Demand

Attribute	2026-2027 (Oct)	2026-2027 (Sep)	% Chg M.O.M	Last Year	% Chg Y.O.Y
Beginning Stocks	16481	16396	0.5	16481	0
Area	29625	29665	-0.1	29625	0
Yield	866.9	861	0.7	867	0
Loss	-22	-31	-29	-22	0
Production	25681	25542	0.5	25681	0
Imports	9736	9631	1.1	9736	0
Total Supply	51898	51569	0.6	51898	0
Exports	9734	9629	1.1	9734	0
Domestic Consumption	26798	26762	0.1	26798	0
Ending Stocks	15388	15209	1.2	15388	0
Stocks-to-Use	57.4	56.8	1.1	57	0.8

Key Producing Countries Cotton Seed

Country	Latest Month (Oct)	Previous Month (Sep)	% Change (M-O-M)	Last Year	% Change (Y-O-Y)
China	11108	11108	0	33110	-66
India	10189	10189	0	22354	-54
Brazil	6308	6142	3	50011	-87
United States	3644	3576	2	3950	-8
Others	1189	1189	0	11730	-90
Pakistan	2166	2166	0	8000	-73
Australia	751	751	0	59693	-99
Uzbekistan	1332	1332	0	2727	-51
Turkey	783	783	0	5004	-84
Argentina	471	518	-9	87912	-99

India Cotton Seed Meal Supply and Demand

Attribute	2026-2027 (Oct)	2026-2027 (Sep)	% Chg M.O.M	Last Year	% Chg Y.O.Y
Beginning Stocks	0	0		0	
Crush	9000	9000	0	9000	0
Extr. Rate, 999.9999	0.5	0.5	0	0	
Production	4208	4208	0	4207	0
Imports	70	20	250	70	0
Total Supply	4278	4228	1.2	4277	0
Exports	20	20	0	20	0
Feed Waste Consumption	4258	4208	1.2	4257	0
Food Consumption	0	0		0	
Industrial Consumption	0	0		0	
Domestic Consumption	4258	4208	1.2	4257	0
Ending Stocks	0	0		0	

World Cotton Seed Meal Supply and Demand

in (INR/Tonne):

Attribute	2026-2027 (Oct)	2026-2027 (Sep)	% Chg M.O.M	Last Year	% Chg Y.O.Y
Beginning Stocks	160	162	-1.2	109	46.8
Crush	30002	29902	0.3	31286	-4.1
Extr. Rate, 999.9999	0.5	0.5	0	0	
Production	13747	13700	0.3	14377	-4.4
Imports	188	138	36.2	225	-16.4
Total Supply	14095	14000	0.7	14711	-4.2
Exports	274	274	0	347	-21
Feed Waste Consumption	13516	13421	0.7	14034	-3.7
Food Consumption	0	0		0	
Industrial Consumption	145	145	0	170	-14.7
Domestic Consumption	13661	13566	0.7	14204	-3.8
Ending Stocks	160	160	0	160	0

Source: Department of Consumer Affairs

Key Producing Countries Cotton Seed Meal

Country	Latest Month (Oct)	Previous Month (Sep)	% Change (M-O-M)	Last Year	% Change (Y-O-Y)
China	3466	3466	0	857	304
India	4208	4208	0	322	1207
Brazil	2596	2549	2	1164	123
Pakistan	966	966	0	149	548
Uzbekistan	568	568	0	43	1221
Turkey	451	451	0	123	267
United States	390	390	0	48	712
Mali	140	140	0	200	-30
Turkmenistan	131	131	0	49	167
Benin	126	126	0	1297	-90

India Cotton Seed Oil Supply and Demand

Attribute	2026-2027 (Oct)	2026-2027 (Sep)	% Chg M.O.M	Last Year	% Chg Y.O.Y
Beginning Stocks	25	25	0	28	-10.7
Crush	9000	9000	0	9000	0
Extr. Rate, 999.9999	0.1	0.1	0	0	
Production	1297	1297	0	1297	0
Imports	5	5	0	5	0
Total Supply	1327	1327	0	1330	-0.2
Exports	0	0		0	
Feed Waste Consumption	0	0		0	
Food Consumption	1255	1255	0	1265	-0.8
Industrial Consumption	45	45	0	40	12.5
Domestic Consumption	1300	1300	0	1305	-0.4
Ending Stocks	27	27	0	25	8

World Cotton Seed Oil Supply and Demand

in (INR/Tonne):

Attribute	2026-2027 (Oct)	2026-2027 (Sep)	% Chg M.O.M	Last Year	% Chg Y.O.Y
Beginning Stocks	175	182	-3.8	178	-1.7
Crush	30002	29902	0.3	31261	-4
Extr. Rate, 999.9999	0.1	0.1	0	0	
Production	4509	4495	0.3	4724	-4.6
Imports	79	79	0	89	-11.2
Total Supply	4763	4756	0.1	4991	-4.6
Exports	60	62	-3.2	78	-23.1
Feed Waste Consumption	0	0		0	
Food Consumption	3871	3870	0	4088	-5.3
Industrial Consumption	645	645	0	650	-0.8
Domestic Consumption	4516	4515	0	4738	-4.7
Ending Stocks	187	179	4.5	175	6.9

Source: Department of Consumer Affairs

Key Producing Countries Cotton Seed Oil

Country	Latest Month (Oct)	Previous Month (Sep)	% Change (M-O-M)	Last Year	% Change (Y-O-Y)
Benin	43	43	0	700	-94
India	1297	1297	0	7800	-83
China	1164	1164	0	5868	-80
Brazil	872	857	2	579	51
Pakistan	322	322	0	4261	-92
Uzbekistan	200	200	0	1911	-90
Turkey	149	149	0	930	-84
United States	122	123	-1	573	-79
Turkmenistan	49	49	0	540	-91
Mali	48	48	0	10668	-100

India Cotton Supply and Demand

Attribute	2026-2027 (Oct)	2026-2027 (Sep)	% Chg M.O.M	Last Year	% Chg Y.O.Y
Beginning Stocks	2424	2464	-1.6	2424	0
Area	11500	11500	0	11500	0
Yield	454	454	0	454	0
Loss	0	0		0	
Production	5225	5225	0	5225	0
Imports	718	653	10	718	0
Total Supply	8368	8342	0.3	8368	0
Exports	327	327	0	327	0
Domestic Consumption	5770	5770	0	5770	0
Ending Stocks	2271	2246	1.1	2271	0
Stocks-to-Use	37	37	0	37	0

World Cotton Supply and Demand

Attribute	2026-2027 (Oct)	2026-2027 (Sep)	% Chg M.O.M	Last Year	% Chg Y.O.Y
Beginning Stocks	16481	16396	0.5	16481	0
Area	29625	29665	-0.1	29625	0
Yield	866.9	861	0.7	867	0
Loss	-22	-31	-29	-22	0
Production	25681	25542	0.5	25681	0
Imports	9736	9631	1.1	9736	0
Total Supply	51898	51569	0.6	51898	0
Exports	9734	9629	1.1	9734	0
Domestic Consumption	26798	26762	0.1	26798	0
Ending Stocks	15388	15209	1.2	15388	0
Stocks-to-Use	57.4	56.8	1.1	57	0.8

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